ZekiRex™ Apex US

Daily — the market, what happened, what to do today

Monday, October 19 · close 10/16 · 6-minute read

The ZekiRex Compass reads yellow. The S&P 500 sits 2.0% below its 52-week high, in its upper range. The Nasdaq Composite sits 5.3% below and reads yellow, and the Russell 2000 sits 11.3% below and reads red. Read the Compass before the index position.

Nasdaq futures rebound 1.3% before SpaceX and Meta report

THE REX CALL — After the Nasdaq lost 4.5% last week, Nasdaq 100 futures rose 1.3% in European trading on Oct. 19. Results from SpaceX, Meta and Tesla this week will decide whether that rebound holds. The signal is yellow and 14 of a 25-name limit clear our bar — today's stance: add exposure.

① Market — where it stands

Rex Compass · Zeki signal

Yellow

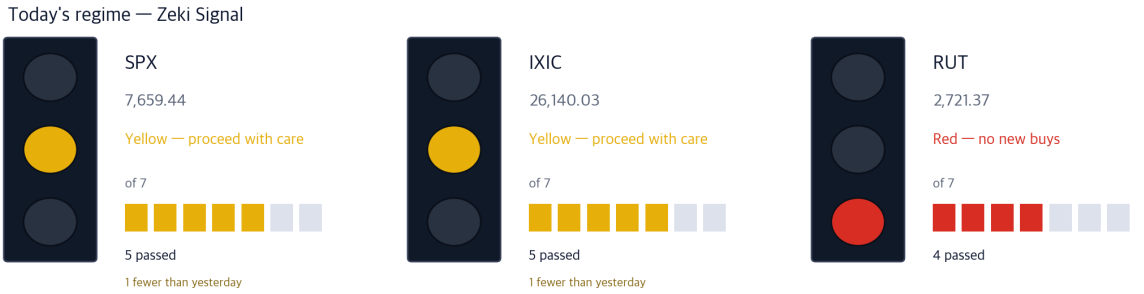
S&P 500 Yellow · Nasdaq Yellow · Russell 2000 Red · since 6/23 · other colors on recorded days since September: 0

Where it stands. The S&P 500 and the Nasdaq Composite now clear five of seven conditions, **one fewer each than on the Oct. 15 close.** The Russell 2000 is unchanged at four. On Oct. 16, when all three fell, the Compass held at yellow.

Today's stance

Add exposure

Yellow · 14/25 names clear the bar · well-grounded 5-session 36/66, 20-session 18/24



Key readings

Indicator	Value	One line

S&P 500	**7,659** -1.09% · 2.0% off high	Upper range At 7,659, down 1.09% and 2.0% below its 52-week high; five of seven conditions, yellow.
Nasdaq Composite	**26,140** -2.15% · 5.3% off high	Upper range At 26,140, down 2.15% and 5.3% below its high; five of seven conditions, yellow.
Russell 2000	**2,721** -1.66% · 11.3% off high	Range-bound At 2,721, down 1.66% and 11.3% below its 52-week high; four of seven conditions and red.
UST 10-Year	**5.10%**	Upper range At 5.10%, in the upper part of its one-year range and nearly unchanged from 5.09% on Oct. 15.
Dollar Index	**101.8**	Upper range

Rex Pulse — the indicators at a glance



On Oct. 16 West Texas Intermediate rose 3.51% and Brent 3.72%. Gold rose 0.26% to $4,181, in the lower part of its one-year range, and the dollar index fell 0.16% to 101.8. The 10-year Treasury yield stood at 5.10% and the 30-year at 5.44%. Long rates staying near 5.1% while oil pushes prices up says growth worry is in the mix. Watch whether the 10-year holds 5%.

② **Today's issue**

This week's results answer last week's chip selloff

Facts

· Nasdaq 100 futures rose 1.3% on the morning of Oct. 19 in Europe, and Treasury yields slipped along with oil (Barron's). BTIG told clients to use any chip rebound to cut exposure (CNBC).

· President Trump waived new Russia sanctions days before they took effect. Oil fell from a five-month high, though Middle East supply risk remains (Reuters, Wall Street Journal).

· China's third-quarter growth quickened to 4.5%, beating estimates, as technology exports offset weak consumer spending (Financial Times, CNBC, BBC).

· Indonesian stocks fell to their lowest since 2020 after MSCI warned the country could lose emerging-market status, and the worst rout in almost 30 years spread to bonds and the rupiah (Bloomberg).

· French government bonds sold off again after weekend cost-of-living protests led to 2,400 arrests, and the 10-year spread over Germany widened (The Guardian, Bloomberg).

One step further — background and implications

This letter rests on the same close as Saturday's weekly (Oct. 16), so it starts with what happened over the weekend and in Asian and European trading on Oct. 19. The Nasdaq Composite fell 2.15% on Oct. 16 to end the week. Nasdaq 100 futures rose 1.3% on the morning of Oct. 19 in Europe, while oil fell from a five-month high on the Russia sanctions waiver and Treasury yields slipped (Barron's). Readings of the rebound split. BTIG told clients to use chip rallies to cut exposure (CNBC), and on Oct. 18 Semafor reported that China is weighing export controls on its AI models and chips. With China's growth leaning on exports, trade friction could cut the rebound short.

If you hold chip or server stocks, watch volume on the up days; a thin rebound does not undo last week's selling. Our account holds one computer-hardware name and three refiners. For the refiners, oil is a nearer risk than chips: if the sanctions waiver pushes crude lower, that can work against them.

Our reading, kept separate from the facts.

Open questions — Two things carry into the next edition: whether volume backs the Nasdaq rebound, and whether oil keeps falling after the sanctions waiver.

Rex Lens — the main news, facts and implications

SpaceX reports Oct. 20, with Meta, Tesla and Netflix due this week — SpaceX reports after the close on Oct. 20, and analysts expect its first adjusted profit (IBD). Meta, Tesla and Netflix also report this week (CNBC).
→ If you hold AI stocks, read next year's capital-spending plans before profit; that number sets the size of chip orders.

Fed meets Oct. 27-28 as hike bets fade — After Chair Kevin Warsh declined to signal the rate path, traders pared bets on a hike this month and gold rose (Bloomberg, Maeil Business).
→ If you hold heavily indebted growth stocks, watch the 2-year yield before the meeting; one remark on prices can move it.

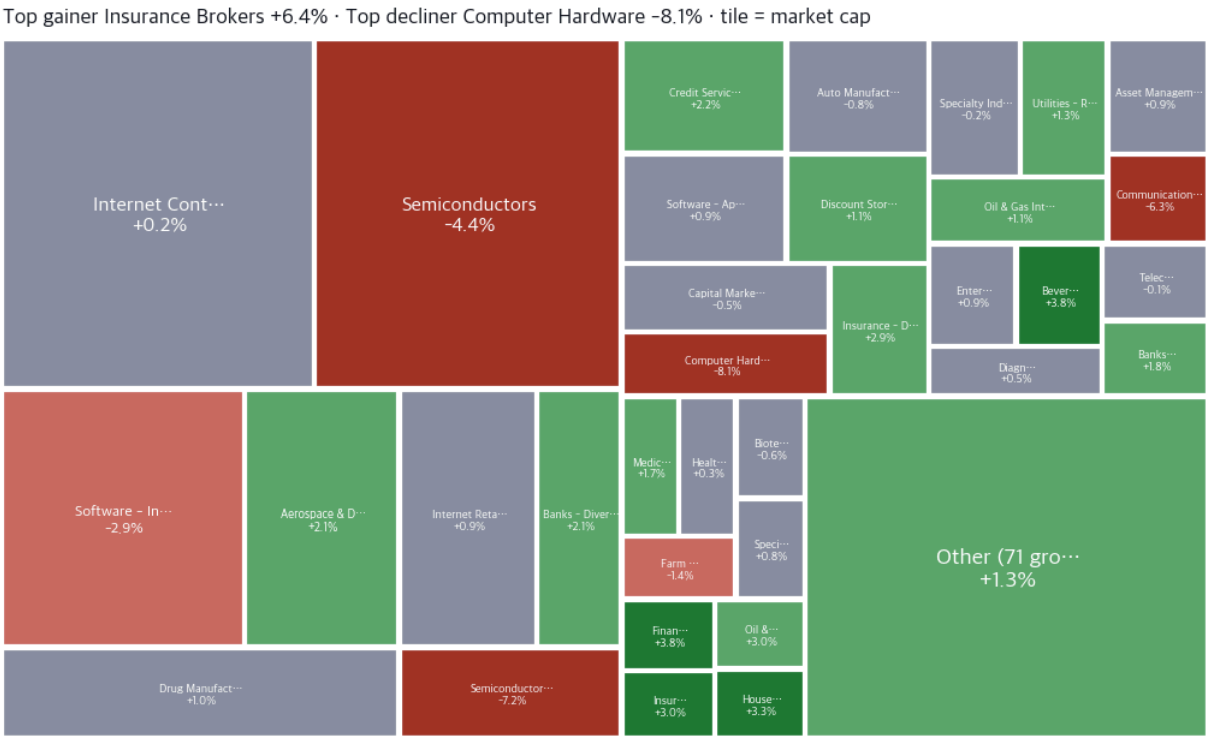
Only half of Americans expect the Nov. 3 midterms to be fair — Early voting is under way and Justice Department probes of the voting system are widening; only half of Americans believe the vote will be free and fair (CBS).
→ If you hold names sensitive to tariff or energy policy, map out the two weeks after the vote; policy can shift abruptly, as the Russia sanctions waiver showed.

Anthropic sets aside 5% of its shares for a public benefit fund — Anthropic said on Oct. 18 it will commit 5% of its shares to a new public benefit fund as it prepares a large listing (Reuters, BBC).
→ A large listing could pull money from other AI stocks; if you hold AI names, watch for the listing date and size.

CXMT falls 7.64% despite an eightfold revenue outlook — Chinese memory maker CXMT forecast an eightfold revenue jump and a swing to profit, yet its shares fell 7.64% in Shanghai on Oct. 19 (Wall Street Journal, Money Today).
→ If you hold memory stocks, read the memory-price outlook before the earnings; a strong number did not hold this one up.

Korea–US link — New York's Oct. 16 chip selloff dragged Seoul down more than 3% at the open on Oct. 19 local time, but institutional buying lifted the KOSPI to a 1.76% gain at 5,768.01, and the won hit a fresh two-year high (Yonhap, Money Today).

Sectors and flows — where the money went



Colour = the day's move · tile size = market cap

Sectors moving up +16 · +11 · +10. **Sectors moving down** -26 · -21 · -21. Measured on the Oct. 16 close. Computer hardware tops the table at Zeki Strength 88, followed by oil and gas producers (87) and general drug makers (85.5). Refining scores higher at 96 but has only four names, so it sits outside the table.

Flow and volume, one row

Name	Flow 3mo→2wk	Volume	How to read it
Semtech Corporation SMTC	B → **E** ↓	1.77x	**Caution** — The grade is falling while volume rises
SMH	E → **E** =	1.76x	**Caution** — Selling over both 3 months and 2 weeks, as volume rises
DPC Holdings DPC	E → **E** =	1.75x	**Caution** — Selling over both 3 months and 2 weeks, as volume rises
Applied Materials AMAT	E → **E** =	1.35x	**Caution** — Selling over both 3 months and 2 weeks, as volume rises

KLA Corporation KLAC	E → **E** =	1.27x	**Caution** — Selling over both 3 months and 2 weeks, as volume rises
Axsome Therapeutics AXSM	E → **E** =	1.26x	**Caution** — Selling over both 3 months and 2 weeks, as volume rises
Advanced Energy Industries AEIS	C → **E** ↓	1.24x	**Caution** — The grade is falling while volume rises
Lamb Weston Holdings LW	A → **A** =	1.72x	**Watch✓** — Buying over both 3 months and 2 weeks

Volume = 5-day average ÷ 50-day average · ✓ passes our buy screen

Chemicals (22 places), insurance brokers (16) and diversified insurers (14) rose furthest, while farm products (31), electrical equipment (26) and electronic components (21) fell furthest, a shift from electrical gear and parts toward insurance and chemicals. If you hold electronic-component stocks, watch whether this slide lasts several more sessions. Top 5 and bottom 5 of 74 industries. **The upper bar is strength (RS), the lower bar is money**; the figure at right is the difference. Money is a PROXY - 20-day dollar volume against its 60-day average - meaning 'trading is crowding in', not 'institutions are buying'. A wide difference is **a place to look, not a trade**: a pre-registered test on 2026-08-31 found no evidence it predicts returns in any of eight US and Korean cells.

③ **Today's stance**

Add exposure

How	What and why
All qualifying names	Add exposure starting with the top sectors
What to leave out	Weakest sectors and any index with a red signal
	20-day hit rate under 60% → back to buying in stages

Rex 25 — names clearing the bar

Stock	Sector	Close	Strength
Okta, Inc. OKTA	Software & Internet	$187.26	98
Advanced Micro Devices, Inc. AMD	Semis & Hardware	$528.75	97
Everpure, Inc. P	Semis & Hardware	$124.01	97
APA Corporation APA	Energy & Refining	$49.15	93
Arrow Electronics, Inc. ARW	Semis & Hardware	$214.61	91

Fourteen of 1,029 names made the list; Micron and Targa Resources left and none joined. Oct. 16's biggest decliners were software, computer-hardware and chip names. The worst

fell 10.2% on nearly double its average volume, and a fall on heavy volume means large holders are selling. The top three gainers were all energy names. If you hold software or chip stocks, watch whether declines keep drawing volume.

Model portfolio — Bought: Veeva Systems Inc., Avnet. Since inception (8/11) the model portfolio is **+1.41%**, the S&P 500 —. The Saturday edition takes it apart.

Signal	Scoring (well grounded)	Stance
Red	5-day hit rate under 50% **or** under 8/25 names clear the bar	**Hold cash** — no new buys, review weak-sector holdings, cash in short-term bonds or MMFs
Red	5-day hit rate 50%+ · 8+ names clear the bar	**Wait and see** — tidy the watch list only
Yellow	5-day hit rate under 50%	**Wait and see**
Yellow	5-day 50%+ · 20-day under 60% or fewer than 10 results	**Buy in stages** — one focus name + 2–3 candidates, in installments
Yellow · Green	5-day 50%+ **and** 20-day 60%+ (10+ results) · 12+ names clear the bar	**Add exposure** — all names clearing the bar + top sectors

Stance rules are the letter's editorial standard, not trading rules. They are written in advance and scored when wrong.

④ Scores settled today

To date — well-grounded names beat the S&P 500 **36/66** times at 5 sessions (average −0.0 pts).

Settled at 5 sessions

Stock	Grade	Stock	S&P 500	Difference
Phillips 66 PSX published 10/9	**Well grounded**	+5.4%	−1.9%	**+7.3 pts**
Valero Energy VLO published 10/9	**Well grounded**	+2.5%	−1.9%	**+4.5 pts**
Okeanis Eco Tankers ECO published 10/9	**Well grounded**	−3.7%	−1.9%	**−1.7 pts**
ASML ASML published 10/10	**Needs checking**	−7.8%	−1.9%	**−5.9 pts**
TSMC TSM published 10/10	**Needs checking**	−9.0%	−1.9%	**−7.0 pts**
뉴타닉스 NTNX published 10/10	**Needs checking**	−10.3%	−1.9%	**−8.4 pts**

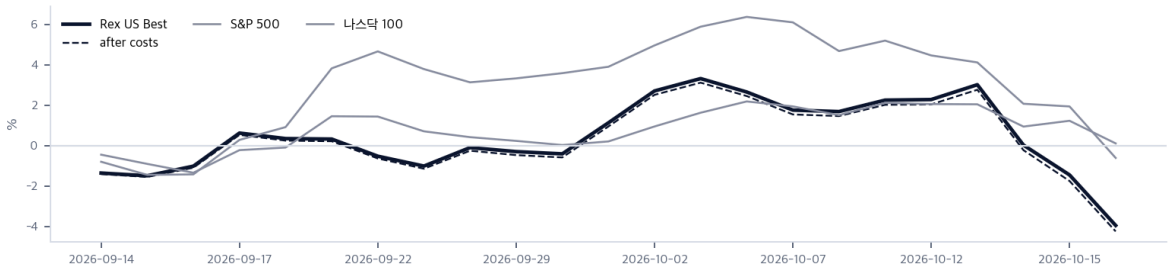
Palantir PLTR published 10/9	Needs checking	−11.0%	−1.9%	−9.1 pts
Snowflake SNOW published 10/9	Grounded	−16.8%	−1.9%	−14.9 pts
루멘텀 LITE published 10/10	Well grounded	−25.3%	−1.9%	−23.4 pts

Settled at 20 sessions

Stock	Grade	Stock	S&P 500	Difference
할로자임 테라퓨틱스 HALO published 9/19	Well grounded	+8.4%	+0.1%	+8.2 pts
쿠퍼 COO published 9/18	Theme excluded	+4.8%	+0.1%	+4.7 pts
록히드마틴 LMT published 9/18	Theme excluded	+3.5%	+0.1%	+3.4 pts
넷플릭스 NFLX published 9/19	Theme excluded	−1.8%	+0.1%	−1.9 pts
알파벳 GOOGL published 9/19	Theme excluded	−2.6%	+0.1%	−2.7 pts
크라우드스트라이크 CRWD published 9/19	Well grounded	−4.3%	+0.1%	−4.4 pts
티지 테라퓨틱스 TGTX published 9/19	Well grounded	−5.1%	+0.1%	−5.2 pts
팔로알토 네트웍스 PANW published 9/19	Well grounded	−5.9%	+0.1%	−6.1 pts
스코피오 탱커스 STNG published 9/18	Grounded	−6.6%	+0.1%	−6.7 pts
제너랙 GNRC published 9/18	Theme excluded	−7.1%	+0.1%	−7.2 pts
휼렛팩커드 엔터프라이즈 HPE published 9/18	Well grounded	−9.3%	+0.1%	−9.4 pts
코인베이스 글로벌 COIN published 9/19	Grounded	−10.9%	+0.1%	−11.0 pts
로빈후드 마켓츠 HOOD published 9/19	Needs checking	−17.5%	+0.1%	−17.6 pts
셈테크 SMTC published 9/18	Well grounded	−26.1%	+0.1%	−26.2 pts

Rex US Best — the scorecard of names in the letter

Since launch (9/11), 23 sessions, after costs **−4.24%**; S&P 500 +0.11%.



An equal-weight index of the companies in the letter · not a product or a recommendation · not a basis for judgment before 120 sessions.

Score = the move from the publication-day close to the close 5, 20 and 60 sessions later, minus the index move. Grade bars, the cumulative chart and the full pending list are in the Saturday edition.

⑤ What to watch tomorrow

All calls are judged on the **close**. The next issue scores them at the top, and the Saturday edition adds up the week.

Type	What we're watching	Condition → implication
Signal	Two things carry into the next edition: whether volume backs the Nasdaq rebound, and whether oil keeps falling after the sanctions waiver.	Judged on the close

Rex Radar — the calendar ahead

10-28	AVT earnings
10-28	DINO earnings
Tuesday, Oct. 20, after the close	SpaceX results — Shows whether it posts a first adjusted profit and whether its spending plans support AI orders.
Thursday, Oct. 22	Bank of Korea rate decision — Sets Seoul's rate path; if you hold Korean exporters, watch the exchange rate after the decision.
Tuesday-Wednesday, Oct. 27-28	Fed policy meeting — Decides whether rates rise again after September consumer prices rose 3.7%.
Wednesday, Oct. 28	HF Sinclair and Phillips 66 results — A read on whether refining margins held as oil climbed.
	AVT
	DINO
	PSX

Next week's scenarios and this week's stance scorecard are in the Saturday edition, **ZekiRex™ Weekly**.

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